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Chapter 10

Period Close



Introduction To Period Close In GL

To access the facilities to perform the period close and consolidate / translate a company, select the GL Period Close options.

The period close procedures are performed once periods have been closed for all dependent modules (such as Accounts Payable Accounts Receivable and Cash Management), and all journals have been posted.



Note: A period cannot be closed if there are any suspended journals outstanding. You should run the Suspended Journals Report to confirm that there are no such journals. If there are, you need to clear them before proceeding with Period Close.



Warning: No other user should attempt a General Ledger period close routine for the selected company at the same time.

There are five period close procedures:

- Final Close - mandatory.
- Bank Reconciliation (if Cash Management is not linked to the General Ledger). It may be carried out at any appropriate time from the menu option.
- Consolidate/translate Company.
- Open next period.
- VAT period end - mandatory. VAT periods may or may not coincide with General Ledger periods.

Year-close journal processing is included within this section. It is mandatory in certain countries, but need not be run at the same time as the above procedures.

Final Close



1/GLC

This procedure closes off the current period and prevents further postings into the General Ledger for that period (except prior period journals).

Once closed no further postings to the closed period are allowed.



Select the Final Close menu option to close the current period.

A period can only be closed if the following conditions apply:

- If there are any outstanding suspended journals the period cannot be closed.
- Any dependent ledgers must already be set to a future period. The error screen lists the dependent module and company.
- Any General Ledger companies which consolidate into this company must already be set to a future period. The error screen lists the source companies.
- If AFI is in use, it must have completed its postings to the General Ledger for this period.

If the period can be closed, a screen will be displayed.



Press **Enter** to close. If the close is accepted, the period is flagged as closed and a confirming message displays. Press **Enter** again to continue.

Open Next Period



2/GLC

This procedure enables you to open the General Ledger for the next period once the previous period has been closed.



Select the option to Open Next Period from the menu. If the conditions for opening the next period are acceptable, a confirmation screen displays. Press **Enter** to open the next period.



Note: While the following steps are carried out, no further General Ledger processing may be done.

The procedure checks again to ensure the Period Close procedures have been completed, and also that the net profit and opening balance accounts have been defined on the company profile. If any of these tests fail, a message is displayed stating that the operation could not be completed.

In general, the values held for each account at the end of the current period are added to any values already held for the next period to give an opening balance for the next period.



Once **Enter** is pressed to confirm and the update is successful you will be returned to menu.

VAT

1... **3/GLC**
2...

This procedure has two purposes:

- When the module is first implemented, it sets up the first VAT period. You must set up a VAT calendar before the first VAT period is set up.
- Subsequently, it is used to close the current VAT period and to open the next one.

Maintaining VAT Periods

-  Select the period close option VAT from the menu. Enter the VAT year and period from which the module is to start. Format YYPP.
-  Press **F8=Update** to accept the entry.

Close VAT Period

-  Select the Period Close option VAT from the menu. A message is displayed for period close:

GL171	Y9 - Education Company - Y9	USER FFV9	28/07/95 10:29:27
Close VAT Period			
The current VAT period is 9411 running from 1/11/94 To 30/11/94. If you wish to close this period and open the next, press F8. Otherwise, press F3 to return to the menu.			
F3=Exit F8=Close VAT period			
01-02	SR	MM	KS IM II EDN400A PE0079S1

-  Press **F8=Update** to close the current VAT period and automatically open the next. This option is normally taken at the same time as running a VAT final report.

Year Close Procedures



11/GLC

This procedure will apply only if you have selected to use this year end option - to total and zero your P&L accounts with the resulting total being posted to your opening balance account.



Note: That is, the Year End Journals field is set to 0 in your GL Company Profile.

If the period being opened is the first of a new financial year, balance sheet ledgers and profit and loss ledgers are treated differently.

Profit and Loss Ledger

Values held in profit and loss accounts are not carried forward from one year to the next. The opening period balances in the first period of a new financial year include only those values already held for the next period.

The net balance on the profit and loss ledger is held on the memorandum net profit account on that ledger. At year end, the value on that account is transferred to the retained earnings (opening balance) account on the balance sheet.

Balance Sheet Ledger

Values held on the balance sheet accounts are maintained from one year to the next. The procedure for opening the first period of a new financial year is the same as any other period for these accounts, except that the net profit and loss account is transferred to the retained earnings (opening balance) account on the balance sheet.



Select the GL year end option Year-Close Journal. You may proceed only when you are set up to use year end journals and the system recognises that your year end is due.



Enter to proceed and be returned to the menu.

Consolidate/Translate Company

1...
2...

31/GLC

This procedure is normally run as part of the period end cycle - after the current period has been closed.



Note: The first consolidation may be run retrospectively. Thereafter, the consolidation procedure should be run for each accounting period.

The period balances for balance sheet and profit and loss accounts for this company may be consolidated into the accounts of a parent (target) company. If the base currencies of the two companies are different, the values in the source company are translated into the base currency of the target company.

Consolidation and translation may be seen as two sides of the same coin. Consolidation on its own is where the two currencies are the same, so the values remain the same in both companies. Translation on its own means that the two companies contain the same equivalent values, but in different currencies. Combined, the parent (target) company may contain the single-currency sum of accounts from companies with different currencies.

Factors Affecting Consolidation And Translation

The environment in which consolidation and translation operate is set in the source company's company profile and on each account in the chart of accounts.

Company Profile Set Up:

Historical Translation Details: This is defined on the company profile. If this is set, the period values are already available in the target currency.

Translation Method: A default method is set on the company profile, but it may be overwritten for a ledger and for an account. It is either:

- Cumulative values at end-of-period rate (normally used for balance sheet accounts).
- Net posted values (net period totals or by transaction).

Translate Journal Details

This is defined for each account.



Note: For each company into which this company is to be consolidated, the factors which control consolidation and translation are defined as on this screen.

The first time consolidation is run, accounts are consolidated for this year up to and including the current period. Thereafter, the results for the current period are consolidated. If consolidation is run more than once in any period, the net movement since the previous consolidation is consolidated.

Conditions which must be met before accounts can be successfully consolidated or translated are:

- The consolidate to (target) company must have been set up.
- The current period must be open in the target company.



Note: A company may be consolidated into several target companies. The chart of accounts for the target companies need not be the same as that of the source company. Each account in a source company has a target account in each target company into which it is consolidated. This may be the same account code.

Because different accounts may be translated at different rates, it is likely that the translated debits will not equal the translated credits. Therefore a balancing value must be posted to translation gain/loss accounts to maintain the integrity of the target General Ledger.

Account Validation In Target Company

- Not required for sub-ledger accounts if top level accounts only are to be transferred.

- If all ledgers are to be transferred, target accounts are not required for sub-ledger control accounts.

Hierarchy Control Accounts Cannot Be Consolidated

Otherwise, the target account is the same as that in the source company unless an override account has been specified.

The Target Account Must Exist In The Target Company And:

- Must be the same ledger type (balance sheet or profit & loss).
- Must be the same account type (fiscal or memo).
- Must not be post inhibited.



Note: If the target accounts do not meet these tests, an error report is printed and the job is terminated.

Consolidation

Where the source and target currencies are the same, the values in the accounts of each company are consolidated.

Where the two currencies are different, the source values are also translated into the currency of the target ledger.

Values are accumulated with the following rules:



Note: Debit and credit values are accumulated separately.

Sub-Ledgers

Sub-ledger accounts are ignored unless all ledgers are to be consolidated.

Individual Journals

If individual journals for an account are to be transferred, the journal details are copied across into the target company, and added into its account balances. Journals posted to a period later than the period being consolidated are not transferred (and a journal cannot be transferred more than once).

Account Balances

If account balances are to be transferred, the value is the total value posted since the previous consolidation in this period. (This enables multiple consolidations per period.)



Note: Prior period postings to a period earlier than the latest consolidation period will be ignored.

Such journals therefore need to be posted directly to the target company, either in the currency of the source company, or in its own base currency.

Each required source account value is then added into its target account value - see earlier notes on conditions for target accounts. Several source accounts may post into a single target account.

Journals

Journals are posted to the current open period of the target company.

Memo Accounts

Memo accounts are accumulated only if required - see company profile.

Consolidation And Translation Report

When all accounts have been consolidated/translated, a report is produced listing all the values posted to each target account, and the source account from which it came.

Translation Rules

Currency translation applies all the consolidation rules, and, in addition, translates the source currency values into the target currency values. The following rules are applied:

Step	Test	Value Posted to the Target Account
1	Does this account require journal details to be posted?	Yes Translate any previously untranslated journals at the rate which applied at the time of posting.
	No	Go to Step 2.
2	Which translation method applies to this account?	Cumulative Translate cumulative base values on the account at the defined rate (normally used for balance sheet accounts). The value posted to the target account is the current translated value, less the previous translated value. For example: Previous value New value Net posted 1000 @ 1.75 = 1750 1200 @ 1.67 = <u>2004</u> = <u>254</u>
	Net Posted	Go to Step 3
3	Is 'Historical Details' set on the company profile?	No Translatenet base value posted this period (less any value previously consolidated this period) at the mid-period rate. (Normally used for P&L accounts).
	Yes	Transfer the value of any previously unconsolidated transactions to the target company. (The value in the target currency was calculated at the time the journal was posted).

Translate Or Consolidate The Company Screen (Parameters)



Select Consolidate or Translate Company to consolidate or translate this company's accounts into those of another company.



Warning: No other General Ledger procedures for this company can be carried out while this procedure is being run.

GL448	Z1 - GB Demonstration Company	GBJBA1MS	12/01/98 12:06:58
Translate or Consolidate the Company			
Source company : Z1			
Target company : Z2			
Source period : 9712			
 Please note that whilst the source company's postings are being translated or consolidated into those of the target company, no-one may use the source company for anything else at all.			
F3=Exit			
8-32	SA	MW	KS CL IM DM II STUD140 KB PKH312S1

Your consolidation screen options are as follows:

Fields:

Source Period

The period number being consolidated must be either the most recent consolidated period or the following one. It must also be equal to or greater than the current open period in the target company (adjusted for period lag/lead).



Press **Enter** to display the Translate The Company screen.

Translate The Company Screen

Before the source company accounts can be consolidated or translated, the target company's chart of accounts is checked.



To display this screen press **Enter** at the Translate Or Consolidate The Company screen.

GL448	09 - FS EDUCATION COMPANY - 09	FS9	28/07/95 10:57:39
Translate the Company			
Source company	 09		
Target company	 GP		
Source period	 92-12		
Target period	 92-12		
Source currency	 USD USD		
Target currency	 GBP GBP		
End-of-period rate code	. . ? <u>ERD</u>	OR rate	. . : _
Mid-period rate code	. . . ? <u>PERD</u>	OR rate	. . : _
Translation gain account	. : <u>463005</u>		
Translation loss account	. : <u>464005</u>		
F3=Exit F4=Prompt F12=Previous			
15-32	<u>SF</u>	<u>ML</u>	KS IM II EDN400A PE0079S1

Fields:

Period End Rate

The rate code or rate to be used for accounts with translation method 0 (generally used for balance sheet translation). The rate code must have a valid rate between the source and target currencies for the source period.

Mid Period Rate

Unless the company profile has been set up to maintain historical details, enter the rate code or rate to be used for accounts with translation method 1 (generally used for Profit and Loss accounts).

Translation Gain & Loss Accounts

Enter the General Ledger accounts in the target company's chart of accounts to which translation gain and loss will be posted. The accounts must not be post inhibited. You may enter up to 42 characters. Extension codes may have to be specified.



Note: Where different rate codes have been used to calculate target currency values, there will be an imbalance. The difference is calculated, for each account, as the difference between the translation rate and the period end rate. Gains and losses are accumulated separately, and at the end of the run are posted

to the specified translation gains and losses accounts.



When the screen is completed press **Enter** to display the Account Validation in Target Company screen.

Year-Close Journal

Year-close journal processing is mandatory in certain countries and optional in others. You may run it at any time after the last period of the year in question has been closed; indeed, it would normally be run several periods later.

The procedure submits a year-close journal which posts the values in all profit and loss accounts to a nominated profit and loss summary account. The value of that account is posted to a balance sheet profit account or loss account determined by whether the value is positive or negative. Every balance sheet account is then posted to a summary closing account within the balance sheet. The balance sheet effectively collapses into one account, zeroising everything else.

The year-close journal is a base-currency-only fiscal journal. No currency period balances, user view balances or currency user view balances must be written into the year end or open journal periods.

A year-open journal is then set to run automatically, which will post into the last adjustment period defined on the company profile. The year open journal is then posted into period 0 of the new year from the summary opening account to the various zeroed accounts within the balance sheet.

Profit and loss will be zero at the start of the year.

The running of the year-close journal will inhibit the posting of prior year journals.



Select the period close option to submit a Year-Close Journal.



Press **F8=Update** to submit the journal.